CLASS 10 — SOCIAL SCIENCE · NCERT-TYPE CHAPTER TEST SET 3

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. NCERT-type: questions in the style of the textbook examples and exercises.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. In a barter system, a person can exchange goods only if there is: 1

(a) a loan **(b)** a cheque
(c) a bank account **(d)** a double coincidence of wants

2. The rupee is accepted as a medium of exchange because: 1

(a) it is used only in banks
(b) it is printed in many colours
(c) it is made of gold
(d) it is authorised by the government of the country

3. A cheque is: 1

(a) a type of interest
(b) a paper instruction to the bank to pay a specific amount from the person's account to the person whose name is written
(c) a loan from the bank
(d) a currency note

4. Banks use the major portion of deposits to: 1

(a) print notes **(b)** extend loans **(c)** collect taxes **(d)** fix prices

5. A feature of informal sources of credit is that: 1

(a) they never lend to the poor
(b) the RBI controls their interest rate
(c) no organisation supervises them and the interest rates are often high
(d) they ask for no repayment

6. A Self-Help Group usually consists of: 1

(a) a bank staff
(b) government officers
(c) a hundred men
(d) 15 to 20 members, mostly women from a neighbourhood

7. Compared to informal sources, formal sources of credit generally charge: 1

(a) higher rates of interest **(b)** the same rates
(c) no interest **(d)** lower rates of interest

8. Banks keep only a small proportion of the deposits as cash because: 1

(a) it is illegal to keep cash
(b) cash is not safe
(c) only a small part is needed to meet the day-to-day withdrawals
(d) deposits are not required

9. Collateral is: 1

(a) a type of cheque
(b) an asset that the borrower owns and uses as a guarantee until the loan is repaid
(c) a bank branch
(d) the rate of interest

10. Credit sometimes creates a situation from which it is very difficult to recover. This situation is called: 1

(a) collateral **(b)** debt trap **(c)** demand deposit **(d)** barter

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is money called a medium of exchange? 2

12. What are demand deposits? 2

13. Who issues currency notes in India? 2

14. What is credit? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. What are the advantages of Self-Help Groups? 3

16. Distinguish between formal and informal sources of credit on any three points. 3

17. Why is the Grameen Bank considered a success story? 3

OR

Why is the RBI's supervision of banks important? 3

18. How does credit help borrowers? Give an example. 3

OR

What are the terms of credit? Why do they vary? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Why should the formal sector credit be increased in India? 5

OR

Write a note on the importance of cheap and affordable credit for development. 5

20. Describe the modern forms of money. 5

OR

What are the advantages and disadvantages of credit? 5

END OF QUESTION PAPER — Total: 40 Marks